

Outlook

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Follow-up: validate the treatment strategy, not only the risk rank

Hi,

This came up in a working session and nobody had the same definition.

Collections wants a prioritisation model, but validation must separate default risk from the effect of different contact strategies.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: some customers self-cure without intervention; contact channel changes promise-kept rates; or high-risk customers need tailored arrangements rather than more attempts.

There is no confirmed problem yet; this is a request to test an assumption before it becomes policy. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use April 2023 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether a model can support treatment allocation and what experiment is needed next. Please bring a model-ready table, data dictionary and an honest baseline, including a few cases we can trace from source to conclusion.

The available evidence is collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields. Observational data cannot prove treatment causality; recommend a controlled test where appropriate.

Thank you